Q3 2024

Custom Managed Portfolios

Guardian Capital

Canadian Equity Income

Quick facts

Asset class:
Canadian Large Cap

Management style:
GARP[1]

Number of holdings:
34

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
January 1, 2003

aviso wealth

What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	10.24%	14.54%	24.08%	11.74%	11.05%	7.31%	11.37%
Benchmark[5]	11.64%	14.81%	24.47%	10.29%	10.36%	7.06%	10.69%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	8.87%	6.08%	30.96%	- 6.20%	20.83%	-10.09%	5.86%
Benchmark[5]	8.05%	0.64%	36.10%	- 7.39%	25.81%	-10.77%	7.61%

Standard deviation	8.71%	Sortino ratio	1.31	Downside capture	88%
Sharpe ratio	1.12	Beta (Equity)	0.81	Upside capture	74%

Largest holdings

1. ROYAL BANK OF CDA 7.7%
2. TORONTO DOMINION BK 5.5%
3. AGNICO EAGLE MINES LTD 4.7%
4. CDN NTRL RES LTD 4.5%
5. ENBRIDGE INC 4.3%
6. MANULIFE FINL CORP 4.3%
7. CDN NTL RAILWAY CO 4.1%
8. BK OF MONTREAL 3.9%
9. OPEN TEXT CORP 3.8%
10. SUNCOR ENERGY INC NEW 3.7%

Portfolio attributes

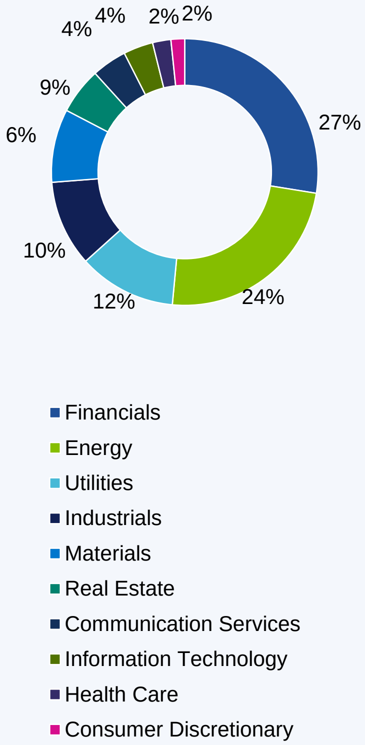
Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.94%	23.36	20.74	2.40	2.71	$62.36 B	25%

Target allocations

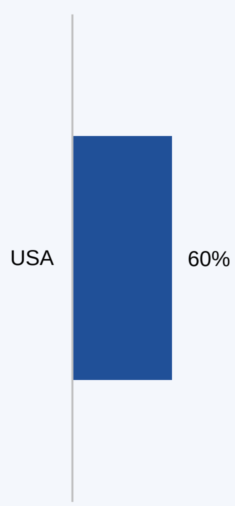
Asset class	Min	Target	Current	Max
Canadian equities	50%	98%	96.8%	100%
Cash & cash equivalents	0%	2%	3.2%	10%

■ Target □ Current

Sector breakdown



Geographic allocation



Quarterly commentary

Market Review

The S&P/TSX Composite Index returned 10.5% in the third quarter of 2024, buoyed by strong performance in the Real Estate (23.0%), Financials (+17.0%), Utilities (+16.6%), Information Technology (14.1%), and Materials

(+12.2%) sectors. The Energy (+1.9%), Industrials (+2.7%), Consumer Staples (+6.0%), and Consumer Discretionary (+7.8%) sectors all lagged the broader market. The strong market performance was driven by cooling inflation, stable economic growth and declining central bank interest rates, which boosted investor confidence.

The Bank of Canada (BoC) cut interest rates twice in the quarter, bringing the overnight lending rate down to 4.25% from 4.75%, while the 10-year Canada bond yield declined by 55 basis points to close at 2.95%. The US Federal Reserve initiated its first cut in the federal funds target range by 50 basis points, from 5.25%-5.5% to 4.75%-5.0%. Oil prices were under pressure for much of quarter given concerns about potential slowing global demand and increased supply from OPEC+ members by the end of the year. The WTI oil price settled at US$68.17 to end the quarter, down from US$81 per barrel in June. Gold continued its strong momentum in the quarter to finish above US$2600/oz.

Performance Attribution

The model portfolio1 delivered solid performance in the quarter, however modestly underperformed its benchmark, the S&P/TSX Composite Index. On the positive side, an underweight allocation to the Industrials sector and good security selection from Element Fleet and Finning added the most value. An overweight allocation to the Real Estate sector, along with continued strong performance from Chartwell REIT was also positive. Agnico Eagle and Barrick Gold added value in the Materials sector but was partially offset by underperformance from Nutrien. On the negative side, an underweight allocation to the Financials sector, along with underperformance from Bank of Montreal and Manulife, while not owning CIBC or Brookfield Corp detracted from performance. Performance from Superior Plus and Northland Power was also negative; however, this was partially offset by an overweight position in the Utilities sector. Lastly, an underweight allocation to the Information Technology sector and relative underperformance from Open Text, despite solid absolute returns, also detracted from performance.

Portfolio Transactions

There were no new buys or sells in the quarter, however, the Manager added to positions in Open Text, Canadian National Railway, Rogers Communications, Northland Power, Maple Leaf Foods, TD Bank and Restaurant Brands International, while reducing the position in Superior Plus.

1 The performance and attribution provided is that of the Guardian Wrap Canadian Equity Income (C$) Model* (WIT0IT) and does not reflect the returns of actual client accounts, as fees and expenses may vary. Performance may also vary due to timing differences between trades made in the Model and client accounts. Past performance may not be indicative of future results.

Portfolio Outlook & Positioning

Following a strong market rally in the third quarter, stocks are continuing to price in an economy that will avoid a recession as inflation continues to moderate to central bank targets. While economic growth has also moderated, expected further rates cuts by central banks in Canada and the U.S. should provide support for the economy and the stock market, particularly higher dividend paying stocks. However, risks remain in the form of geopolitical risks in the Middle East, China and Ukraine, along with the US election in November. There is also potential for inflation to reverse course and move higher, should central banks cut rates too aggressively.

The Energy sector was weak in the third quarter, as oil prices declined materially on concerns about potentially weaker demand and increased supply. However, the Manager continues to have a positive outlook on the Energy sector, as fundamentals remain healthy given solid demand with OPEC+ expected to remain disciplined and not flood the market with supply. In addition, inventories, including SPR's (strategic petroleum reserves), remain well below average. Energy stocks continue to offer attractive free cash flow yields, shareholder friendly capital return policies, and strong balance sheets.

The Utilities sector also looks relatively attractive, given the interest rate environment turning from a headwind into a tailwind for the sector with its defensive attributes expected to be in demand if volatility increases. Moreover, valuations remain reasonable, and the sector has growth that is much less economically sensitive should a recession occur.

While price-earnings multiples are no longer below average for Canadian stocks, following solid performance in the third quarter, valuations remain reasonable. The Manager continues to see good opportunities in high quality dividend stocks that generate steady and growing income to help ride-out volatile markets, as well as provide solid upside potential as central banks continue to lower rates. In addition, the Manager believes Canadian stocks remain well positioned relative to their US peers given Canadian stocks offer a more attractive relative valuation, as US stocks trade well above their historical average.

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange

Investment philosophy

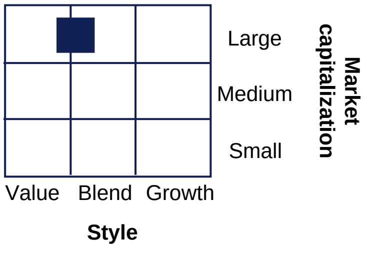
Guardian's Equity Income investment philosophy is built around four key tenants: 1) Focus on Income Generation - income generation is a key driver of our investment process, 2) Focus on Quality - we look for strong business franchises that generate high levels of stable free cash flows exhibiting long term growth potential that can support stable and growing dividends over time, 3) Focus on Risk Management – create risk-controlled portfolios through strict adherence to mandate guidelines and our disciplined investment process, and 4) Focus on Teamwork – a team based approach to portfolio management with clear accountability for decision making.

Investment process and risk controls

The Guardian's approach to Equity Income management is to invest in high yielding Canadian equity securities, including common stocks, REITs and similar equity securities that produce stable, predictable and growing dividends over the long-term. The Equity Income team uses a disciplined approach to portfolio management that blends rigorous fundamental bottom-up security analysis with a top-down overlay, which is implemented through a well-defined three step process:

- The initial phase in the process is to identify the investable universe by applying two screens to the S&P/TSX Composite Index. First, we look at the top 75% yielding securities within the S&P/TSX Composite Index. Then we screen out securities that fall below $1 billion market capitalization.
- In the second step of the process, the portfolio managers conduct a preliminary analysis of the securities in the investable universe to screen for minimum quality characteristics such as management track record, corporate governance, industry dynamics, and balance sheet. Only companies that meet the minimum standards will move to the next stage of research where we perform a rigorous bottom-up fundamental analysis.
- In this final stage of the process, we bring together our fundamental bottom-up analysis, security valuation work, risk controls, and sell disciplines to construct and maintain the portfolio. In addition, we overlay our top-down view of the economy, commodity prices, interest rates, etc., that can have a material impact on the performance of certain sectors/securities. However, security selection remains the key driver in the portfolio construction process. The final portfolio is constructed within clearly defined constraints to ensure proper risk controls are being applied.

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] GARP (Growth at a reasonable price)

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

[5] The benchmark is S&P/TSX Composite High Dividend TR Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

2100551E 10/21